

LSETM — Liability Settlement Module

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Canonical Definition

The Liability Settlement Module (LSETM) governs how a Settlement intended to resolve, modify, satisfy, discharge, compromise, or otherwise govern an active Liability requirement is identified, bounded, structured, associated with the relevant Liability Relationships, and tracked through formation, conditions, performance, change, completion, failure, and historical preservation.

LSETM identifies the Settlement Object, participating Subjects, Settlement Basis, authority, Scope, terms, conditions, dependencies, performance requirements, affected Liability Relationships, excluded Liability, Settlement State, effective time, and downstream Discharge relevance.

It distinguishes the existence of a Settlement from the underlying Liability Determination and from the actual performance required by that Settlement.

A Settlement may resolve a dispute without establishing that every contested Liability position was substantively correct.

A Settlement may also create future performance requirements that must be fulfilled before the intended Resolution effect occurs.

Its principal output is:

Governed Liability Settlement Structure

Its foundational distinction is:

Settlement ≠ Admission of Liability.

Operational Role

The operational role of LSETM is:

to govern the Settlement structure through which one or more active Liability requirements may be compromised, satisfied, modified, resolved, or prepared for Discharge without confusing the Settlement with the original Liability Determination or with performance of the Settlement itself.

Position in the LRDS Internal Flow

The internal LRDS progression is:

Liability Resolution Initiation → Liability Satisfaction → Liability Settlement → Liability Discharge → Liability

Resolution Verification

LSETM governs:

Liability Settlement

Its relevant inputs may include:

Governed Liability Resolution Initiation Structure

and, where applicable:

Governed Liability Satisfaction Structure

Its principal output is:

Governed Liability Settlement Structure

The output may proceed to:

LDCHM — Liability Discharge Module

and ultimately:

LRVFM — Liability Resolution Verification Module

Central Operational Question

What Liability requirement or dispute is being settled, between which Subjects, under what Basis, Scope, authority, terms, conditions, and performance requirements, and what effect may the Settlement legitimately have on the affected Liability Relationships?

Settlement Object

Every Settlement should identify exactly what is being settled.

The Settlement Object may concern:

a complete Liability Relationship, part of a Liability Relationship, a disputed Liability component, a monetary requirement, a performance requirement, a Recourse Relationship, multiple Liability Relationships, or another bounded Liability matter.

Settlement Object vs Liability Object

The Settlement Object is not necessarily identical to the original Liability Object.

Therefore:

Settlement Object $\neq$ Liability Object by default.

Settlement Object vs Resolution Object

A Settlement may concern all or only part of the wider Resolution Object.

Therefore:

Settlement Object $\neq$ Resolution Object by default.

Settlement Object Identity

The Settlement Object should remain sufficiently identifiable to prevent Settlement effects from being projected onto unrelated Liability.

Settlement Subjects

LSETM should identify all Subjects participating in the Settlement and distinguish their roles.

These may include:

Liability-bearing Subjects, claiming or receiving Subjects, paying Subjects, performing Subjects, Recourse Subjects, authorized representatives, successors, insurers, indemnifying Subjects, or other relevant participants.

Settlement Participation vs Liability Status

Participation in a Settlement does not itself establish that a Subject bears Liability.

Therefore:

Settlement Participation $\neq$ Liability Admission.

Paying Subject

A Subject may fund Settlement performance without being identical to the Liability-bearing Subject.

Therefore:

Settlement Paying Subject $\neq$ Liability-Bearing Subject by default.

Performing Subject

A Subject may perform a Settlement obligation on behalf of another.

Therefore:

Settlement Performing Subject $\neq$ Liability-Bearing Subject by default.

Settlement Basis

Every governed Settlement should possess an identifiable Basis explaining why and through what legitimate structure the Settlement exists.

Settlement Basis vs Liability Basis

The original Liability Basis and Settlement Basis should remain distinct.

Therefore:

Liability Basis $\neq$ Settlement Basis.

Settlement Basis vs Resolution Basis

A Settlement may constitute one Resolution Basis or part of one.

The two concepts should not automatically be collapsed.

Therefore:

Settlement Basis $\neq$ Complete Resolution Basis by default.

Settlement Authority

Where Settlement requires authority, the relevant authority should be explicit.

LSETM should identify:

who may propose, who may negotiate, who may agree, who may bind a Subject, who may accept performance, and who may modify or terminate the Settlement where applicable.

Authority Scope

Authority should remain bounded to the actual Settlement structure.

Therefore:

Authority to Negotiate $\neq$ Authority to Bind by default.

Local Settlement Authority

Authority concerning one Liability Relationship should not automatically extend to others.

Therefore:

Local Settlement Authority $\neq$ Universal Liability Settlement Authority.

Settlement Scope

Settlement Scope defines which Liability requirements, Relationships, Subjects, periods, objects, or disputed matters are included.

Complete Settlement Scope

A Settlement may cover the complete defined Liability Relationship.

This should be explicit rather than inferred.

Partial Settlement Scope

A Settlement may resolve only part of a Liability Relationship.

Therefore:

Partial Settlement $\neq$ Complete Liability Resolution.

Excluded Liability

Liability outside the Settlement Scope should remain explicit.

Therefore:

Settlement of Defined Liability $\neq$ Settlement of Excluded Liability.

Settlement Boundary

The Settlement Boundary should identify:

included Liability, excluded Liability, participating Subjects, excluded Subjects, affected Relationships, unaffected Relationships, applicable time periods, and relevant conditions.

Settlement Terms

Settlement Terms define the governed requirements established by the Settlement.

They may include:

payment, performance, delivery, repair, replacement, reimbursement, release, waiver, transfer, future conduct, timing, verification, or another applicable requirement.

Settlement Terms vs Performance

Terms define what must occur.

Performance establishes what actually occurred.

Therefore:

Settlement Terms $\neq$ Settlement Performance.

Settlement Formation

Settlement Formation occurs when the Settlement becomes sufficiently established under the applicable governance structure.

Formation should identify:

Subjects, Object, Basis, Scope, terms, conditions, authority, and effective time.

Settlement Proposal

A proposed Settlement is not an established Settlement.

Therefore:

Settlement Proposal $\neq$ Settlement.

Negotiation

Negotiation may precede Settlement Formation.

Therefore:

Settlement Negotiation $\neq$ Settlement Formation.

Agreement

An agreement may form a Settlement where the applicable requirements are met.

The existence of agreement does not mean its performance is complete.

Therefore:

Settlement Agreement $\neq$ Settlement Performance.

Settlement vs Liability Determination

Settlement may occur without resolving every contested question concerning underlying Liability.

Therefore:

Settlement $\neq$ Liability Determination.

Settlement vs Admission

A Settlement should not automatically be treated as an admission that Liability existed exactly as alleged or asserted.

Therefore:

Settlement $\neq$ Admission of Liability.

Settlement vs Fault

Settlement should not automatically be interpreted as determination of fault.

Therefore:

Settlement $\neq$ Fault Determination.

Settlement vs Accountability

Settlement of Liability does not determine or erase Accountability governed elsewhere.

Therefore:

Liability Settlement $\neq$ Accountability Determination.

Settlement vs Harm

Settlement does not establish whether Harm existed, its Scope, or whether Harm reached Resolution.

Therefore:

Liability Settlement $\neq$ Harm Determination.

Settlement Conditions

A Settlement may depend upon conditions before some or all of its intended effects become operative.

Conditions should remain explicit.

Condition State

A Settlement Condition may be:

Satisfied, Unsatisfied, Partially Satisfied, Pending, Unknown, Uncertain, or Disputed.

Conditional Settlement

A Settlement subject to unresolved conditions should remain distinguishable from an unconditional Settlement.

Therefore:

Conditional Settlement ≠ Unconditional Settlement.

Condition Failure

Failure of a required Settlement Condition may affect:

formation, performance, Resolution effect, Discharge effect, or continued validity depending on the governed structure.

Settlement Dependencies

A Settlement may depend upon:

payment, performance, third-party action, authority, approval, another Settlement, another Liability Relationship, Transfer, Recourse, verification, or another governed condition.

Dependency State

Settlement dependencies should remain explicit and separately governable.

Therefore:

Settlement Dependency ≠ Satisfied Settlement Condition by default.

Settlement Performance Requirement

Where Settlement creates future obligations, each requirement should remain identifiable.

Monetary Settlement Performance

Where payment is required, LSETM should preserve the relevant monetary requirement and associate actual payment with the applicable Settlement Term.

Non-Monetary Settlement Performance

A Settlement may require non-monetary acts such as:

repair, delivery, return, replacement, corrective performance, or another defined act.

Settlement Performance vs Satisfaction

Performance under Settlement may require Satisfaction assessment.

Therefore:

Settlement Performance ≠ Settlement Satisfaction by default.

Partial Settlement Performance

Some Settlement Terms may be performed while others remain outstanding.

Therefore:

Partial Settlement Performance ≠ Complete Settlement Performance.

Complete Settlement Performance

Complete performance means all defined Settlement performance requirements have been fulfilled.

It does not automatically establish complete Liability Finality.

Therefore:

Complete Settlement Performance ≠ Liability Finality.

Performance by Third Party

Settlement performance may be provided by a third party.

The relationship between:

Settlement Subject, Performing Subject, Paying Subject,

and Liability-bearing Subject

should remain explicit.

Settlement Payment

Payment under Settlement should remain associated with the Settlement rather than automatically being interpreted as an independent admission of Liability.

Therefore:

Settlement Payment $\neq$ Liability Admission.

Settlement Satisfaction

A Settlement may itself become Satisfied when its governed requirements are fulfilled.

Settlement Satisfaction should remain distinct from Resolution of all related Liability.

Therefore:

Settlement Satisfaction $\neq$ Complete Liability Resolution by default.

Settlement Release

A Settlement may include a release.

The release should identify:

granting Subject, benefiting Subject, released Object, Scope, conditions, effective time, and excluded matters.

Settlement Release Boundary

A release within Settlement should not automatically extend beyond its defined Scope.

Therefore:

Settlement Release $\neq$ Universal Liability Release.

Settlement Waiver

A Settlement may include waiver of a defined right or requirement.

The waiver should remain bounded.

Therefore:

Settlement Waiver $\neq$ Liability History Erasure.

Settlement Discharge Relevance

A completed Settlement may create grounds for Discharge assessment.

LSETM does not independently establish Discharge.

Therefore:

Settlement Completion $\neq$ Discharge by default.

Settlement Resolution Relevance

A Settlement may support Resolution of the Liability requirements within its Scope.

It should not automatically resolve unrelated Liability.

Therefore:

Settlement Resolution Effect $\neq$ Network-Wide Liability Resolution.

Settlement State

LSETM may represent Settlement States such as:

Proposed, Negotiating, Pending Authority, Conditionally Agreed, Agreed, Effective, Partially Performed, Performed, Partially Satisfied, Satisfied, Failed, Breached, Disputed, Withdrawn, Terminated, Superseded, Unknown, Uncertain, or another explicitly governed state.

These are methodological states, not universal legal classifications.

Settlement State vs Liability State

The Settlement State and underlying Liability State should remain distinct.

Therefore:

Settlement State $\neq$ Liability State.

Settlement Effective Time

LSETM should identify when the Settlement becomes effective.

Agreement Time vs Effective Time

Agreement and effectiveness may occur at different times.

Therefore:

Settlement Agreement Time $\neq$ Settlement Effective Time by default.

Performance Time vs Settlement Time

Performance may occur before or after Settlement effectiveness depending on the governed structure.

Therefore:

Settlement Performance Time $\neq$ Settlement Formation Time.

Recording Time vs Effective Time

A Settlement may be recorded after it becomes effective.

Therefore:

Settlement Recording Time $\neq$ Settlement Effective Time by default.

Settlement Duration

Where Settlement operates over time, the relevant duration should remain explicit.

Settlement Milestones

A Settlement may contain multiple performance milestones.

Each milestone should remain separately identifiable where material.

Settlement Completion

Settlement Completion occurs when the applicable completion requirements have been fulfilled.

Completion should not be inferred merely from passage of time or administrative closure.

Settlement Failure

A Settlement may fail where applicable requirements or conditions are not met.

Failure should remain distinct from the absence of Settlement Formation.

Therefore:

Failed Settlement $\neq$ No Settlement History.

Settlement Breach

Failure to perform a Settlement Term may create a Settlement Breach or comparable state under the applicable structure.

LSETM records the governance relevance without independently making jurisdiction-specific legal determinations.

Settlement Breach vs Original Liability

A Settlement performance failure does not automatically erase or rewrite the original Liability.

Therefore:

Settlement Breach $\neq$ Original Liability Rewrite by default.

Settlement Termination

A Settlement may terminate under applicable conditions.

Termination should preserve the prior Settlement history.

Therefore:

Settlement Termination $\neq$ Settlement History Erasure.

Settlement Withdrawal

A proposal may be withdrawn before Settlement Formation.

Withdrawal should not be represented as Settlement Resolution.

Settlement Modification

Settlement Terms may change through a legitimate modification process.

The prior and revised terms should remain distinguishable.

Settlement Modification vs New Settlement

A modification does not automatically create a new Settlement identity.

Therefore:

Settlement Modification $\neq$ New Settlement by default.

Settlement Supersession

A later Settlement may supersede an earlier Settlement.

The superseded Settlement should remain historically reconstructable.

Therefore:

Settlement Supersession $\neq$ Historical Deletion.

Settlement Replacement

Where one Settlement legitimately replaces another, the replacement relationship should remain explicit.

Multiple Settlements

One Liability matter may involve several Settlements.

Each Settlement should retain independent identity and Scope.

Therefore:

One Liability Matter $\neq$ One Settlement.

Overlapping Settlements

Settlements may overlap in Subject, Object, Scope, or time.

Overlap should not be treated automatically as identity.

Therefore:

Settlement Overlap $\neq$ Settlement Identity.

Conflicting Settlements

Where Settlement structures conflict, the conflict should remain explicit until legitimately resolved.

Therefore:

Conflicting Settlements $\neq$ Authority to Select a Preferred Settlement.

Duplicate Settlement Records

Multiple records may represent the same Settlement.

Therefore:

Multiple Settlement Records $\neq$ Multiple Settlements by default.

Settlement Uncertainty

Where Settlement existence, Scope, effect, or State cannot be established, uncertainty should remain explicit.

Therefore:

Uncertain Settlement $\neq$ Governed Settlement Effect.

Unknown Settlement State

Where information is insufficient, the Settlement State should remain Unknown.

Therefore:

Unknown Settlement State $\neq$ No Settlement.

Disputed Settlement

Subjects may dispute Settlement existence, interpretation, performance, Scope, or effect.

The dispute should remain explicit.

Settlement Interpretation

Where terms require interpretation, the interpretation and its authority should remain distinct from the original Settlement text or structure.

Therefore:

Settlement Interpretation $\neq$ Settlement Modification.

Primary Liability Settlement

A primary Liability Relationship may be settled independently of secondary Relationships.

Recourse Settlement

A Recourse Relationship may possess its own Settlement.

Therefore:

Primary Liability Settlement $\neq$ Recourse Settlement.

Shared Liability Settlement

Where several Subjects share Liability, Settlement involving one Subject should not automatically settle the others.

Therefore:

Subject-Specific Settlement $\neq$ Shared Liability Resolution.

Transfer and Settlement

A transferred Liability-related requirement may be included in Settlement.

The relevant Transfer history should remain preserved.

Therefore:

Settlement ≠ Transfer History Rewrite.

Insurance-Related Settlement

An insurer or another third party may participate in Settlement without automatically becoming the primary Liabilitybearing Subject.

Indemnification and Settlement

A Settlement may interact with Indemnification structures.

Settlement of one Relationship does not automatically settle the related Indemnification or Recourse Relationship.

Settlement and Recourse Creation

Settlement payment or performance may create Recourse relevance.

Therefore:

Settlement Performance ≠ Established Recourse.

Any Recourse formation remains governed under LTRS.

Liability Network Settlement

A Liability Network may contain:

settled Relationships, unsettled Relationships, active Recourse, resolved components, and disputed components simultaneously.

Local Settlement vs Network Settlement

A Settlement affecting one Relationship should not automatically be treated as Settlement of the complete Liability Network.

Therefore:

Local Settlement ≠ Liability Network Settlement.

Settlement Propagation

Where a Settlement legitimately affects another Liability Relationship, the Basis and pathway of that effect should be explicit.

Therefore:

Shared Origin ≠ Automatic Settlement Propagation.

Claim Settlement

A Claim may be settled within a Claims governance process.

Claim Settlement does not automatically determine complete Liability Settlement.

Therefore:

Claim Settlement ≠ Liability Settlement by default.

Harm Settlement Distinction

A negotiated response to Harm does not replace HAGA™ Harm governance.

Therefore:

Liability Settlement ≠ Harm Resolution.

Operational Settlement Signals

Administrative or operational systems may mark a matter as “settled.” That label alone is insufficient.

Therefore:

Administrative Settlement Label ≠ Governed Liability Settlement.

Settlement Verification

LSETM should verify the existence and structure of the Settlement before downstream effects are assigned.

Verification may include:

Subjects, authority, Object, Basis, Scope, terms, conditions, effective time, and applicable performance requirements.

Settlement Evidence

Evidence may support Settlement Formation, performance, modification, or completion.

Evidence does not independently determine the Settlement's Liability effect.

Therefore:

Evidence of Settlement ≠ Liability Resolution by default.

Settlement Rationale

The rationale should explain why the Settlement is associated with the affected Liability structure and what effect it is intended to produce.

Settlement Provenance

LSETM should preserve sufficient provenance to reconstruct:

Settlement Origin, participating Subjects, affected Liability Relationships, Object, Basis, authority, Scope, terms, conditions, performance requirements, State, effective time, modifications, and supporting records.

Settlement History

Settlement history should preserve:

proposal, negotiation, formation, conditions, performance, modification, failure, termination, supersession, and completion where applicable.

Therefore:

Current Settlement State ≠ Complete Settlement History.

Settlement Correction

An incorrectly represented Settlement record may be corrected.

The prior record and correction should remain reconstructable.

Therefore:

Settlement Correction ≠ Historical Erasure.

Settlement Reassessment

A Settlement effect may require reassessment where materially relevant information changes.

Therefore:

Settlement Reassessment ≠ Settlement Correction.

Upstream Re-Entry

Where Settlement governance reveals a material defect in an earlier LIGA™ governance space, governance should return to the earliest materially affected space.

The canonical rule is:

Re-enter the earliest materially affected governance space.

Targeted Reassessment

The governing principle is:

Reassess what materially changed. Preserve what remains valid.

Historical Integrity of Re-Entry

Re-entry should preserve the Settlement and Liability states that existed before reassessment.

Therefore:

Re-entry must not rewrite history.

Automated Settlement Governance

AI or automated systems may assist with:

Settlement identification, Subject and role mapping, Scope extraction, term classification, condition tracking, performance tracking, conflict detection, and Settlement State monitoring.

Automation must preserve authority, uncertainty, and interpretation boundaries.

Therefore:

Automated Settlement Classification $\neq$ Authoritative Liability Settlement Determination.

Governed Liability Settlement Structure

The principal output of LSETM is:

Governed Liability Settlement Structure

It should identify, where applicable:

Liability Origin, affected Liability Relationships, Settlement identity, Settlement Object, participating Subjects, Subject roles, Settlement Basis, Settlement authority, Settlement Scope, Settlement Boundary, included Liability, excluded Liability, Settlement Terms, conditions, dependencies, performance requirements, payment requirements, release, waiver, Settlement State, effective time, duration, milestones, performance status, Satisfaction status, Discharge relevance, Recourse relevance, network effects, modifications, failure, termination, supersession, uncertainty, disputes, conflicts, rationale, provenance, and Settlement history.

Meaning of the Output

A Governed Liability Settlement Structure means that the Settlement is sufficiently identified, bounded, structured, and associated with the applicable Liability Relationships for subsequent Resolution and Discharge governance.

It does not mean that Settlement performance is complete.

It does not automatically establish Satisfaction.

It does not establish Discharge.

It does not establish Liability Finality.

Minimum Implementation Framework

A conforming implementation of LSETM must provide exactly the following eight capabilities:

Settlement Object, Subject & Relationship Identification

Capability to identify the Settlement, participating Subjects and roles, affected Liability Relationships, Settlement Object, and the distinction between Settlement participation and Liability status.

Settlement Basis, Authority, Scope & Boundary Governance

Capability to identify Settlement Basis, authority and authority limits, complete or partial Scope, included and excluded Liability, and the precise Settlement Boundary.

Settlement Terms, Conditions, Dependencies & Performance Requirement

Governance

Capability to structure Settlement Terms, payment and non-monetary requirements, conditions, dependencies, milestones, release, waiver, and other Settlement requirements.

Settlement Formation, State, Time, Performance & Satisfaction Governance

Capability to distinguish proposal, negotiation, formation, effectiveness, performance, Satisfaction, failure, completion, and other Settlement States while preserving relevant effective times.

Modification, Failure, Termination, Supersession & Conflict Governance

Capability to govern Settlement modification, failure, breach relevance, withdrawal, termination, replacement, supersession, overlap, conflict, uncertainty, and duplicate records.

Primary, Shared, Transfer, Recourse & Network Settlement Distinction

Governance

Capability to distinguish primary Liability Settlement from Recourse Settlement, Subject-specific Settlement, Transferrelated Settlement, Indemnification, insurance-related participation, Claim Settlement, and network-wide Settlement.

Historical Integrity, Provenance, Verification & Re-Entry Governance

Capability to preserve Settlement evidence associations, rationale, provenance, verification, complete Settlement history, corrections, reassessments, and targeted upstream re-entry without rewriting history.

Discharge & Resolution Verification Handoff Governance

Capability to produce a Governed Liability Settlement Structure sufficiently explicit, bounded, traceable, and historically preserved for Liability Discharge and Resolution Verification governance.

Governance Logic

The canonical LSETM governance logic is:

Governed Liability Resolution Initiation / Satisfaction Structure

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Identify Settlement Relevance

↓

Identify Settlement Object

↓

Identify Participating Subjects & Roles

↓

Associate Affected Liability Relationships

↓

Identify Settlement Basis

↓

Verify Settlement Authority

↓

Establish Settlement Scope & Boundary

↓

Identify Included & Excluded Liability

↓

Structure Settlement Terms

↓

Identify Conditions & Dependencies

↓

Identify Performance Requirements

↓

Establish Settlement State & Effective Time

↓

Track Performance / Satisfaction

↓

Identify Release / Waiver / Discharge Relevance

↓

Assess Modification / Failure / Conflict / Supersession

↓

Preserve Rationale / Provenance / History

↓

Governed Liability Settlement Structure

↓

Handoff to Discharge / Resolution Verification

Governance Outputs

LSETM may produce:

Settlement Identity

Settlement Object

Settlement Subject Structure

Settlement Role Structure

Affected Liability Relationship Structure

Settlement Basis

Settlement Authority Association

Settlement Scope

Settlement Boundary

Included Liability Record
Excluded Liability Record
Settlement Terms Structure
Settlement Condition Structure
Settlement Dependency Structure
Settlement Performance Requirement
Settlement Payment Requirement
Settlement Release Structure
Settlement Waiver Structure
Settlement State
Settlement Effective Time
Settlement Milestone Structure
Settlement Performance State
Settlement Satisfaction Association
Settlement Discharge-Relevance Record
Settlement Recourse-Relevance Record
Settlement Modification Record
Settlement Failure Record
Settlement Termination Record
Settlement Supersession Record
Settlement Conflict Record
Settlement Verification Record
Settlement Rationale
Settlement Provenance
Settlement History

The principal output is:

Governed Liability Settlement Structure

Critical Distinctions

LSETM preserves the following distinctions:

Settlement ≠ Admission of Liability Settlement Object ≠ Liability Object by default Settlement Object ≠ Resolution Object by default Settlement Participation ≠ Liability Admission Settlement Paying Subject ≠ Liability-Bearing Subject by default Settlement Performing Subject ≠ Liability-Bearing Subject by default Liability Basis ≠ Settlement Basis Settlement Basis ≠ Complete Resolution Basis by default Authority to Negotiate ≠ Authority to Bind by default Local

Settlement Authority ≠ Universal Liability Settlement Authority Partial Settlement ≠ Complete Liability Resolution
 Settlement of Defined Liability ≠ Settlement of Excluded Liability Settlement Terms ≠ Settlement Performance
 Settlement Proposal ≠ Settlement Settlement Negotiation ≠ Settlement Formation Settlement Agreement ≠ Settlement
 Performance Settlement ≠ Liability Determination Settlement ≠ Fault Determination Liability Settlement ≠
 Accountability Determination Liability Settlement ≠ Harm Determination Conditional Settlement ≠ Unconditional
 Settlement Settlement Dependency ≠ Satisfied Settlement Condition by default Settlement Performance ≠ Settlement
 Satisfaction by default Partial Settlement Performance ≠ Complete Settlement Performance Complete Settlement
 Performance ≠ Liability Finality Settlement Payment ≠ Liability Admission Settlement Satisfaction ≠ Complete Liability
 Resolution by default Settlement Release ≠ Universal Liability Release Settlement Waiver ≠ Liability History Erasure
 Settlement Completion ≠ Discharge by default Settlement Resolution Effect ≠ Network-Wide Liability Resolution
 Settlement State ≠ Liability State Settlement Agreement Time ≠ Settlement Effective Time by default Settlement
 Performance Time ≠ Settlement Formation Time Settlement Recording Time ≠ Settlement Effective Time by default
 Failed Settlement ≠ No Settlement History Settlement Breach ≠ Original Liability Rewrite by default Settlement
 Termination ≠ Settlement History Erasure Settlement Modification ≠ New Settlement by default Settlement
 Supersession ≠ Historical Deletion One Liability Matter ≠ One Settlement Settlement Overlap ≠ Settlement Identity
 Conflicting Settlements ≠ Authority to Select a Preferred Settlement Multiple Settlement Records ≠ Multiple
 Settlements by default Uncertain Settlement ≠ Governed Settlement Effect Unknown Settlement State ≠ No Settlement
 Settlement Interpretation ≠ Settlement Modification Primary Liability Settlement ≠ Recourse Settlement
 Subject-Specific Settlement ≠ Shared Liability Resolution Settlement ≠ Transfer History Rewrite Settlement
 Performance ≠ Established Recourse Local Settlement ≠ Liability Network Settlement Shared Origin ≠ Automatic
 Settlement Propagation Claim Settlement ≠ Liability Settlement by default Liability Settlement ≠ Harm Resolution
 Administrative Settlement Label ≠ Governed Liability Settlement Evidence of Settlement ≠ Liability Resolution by
 default Current Settlement State ≠ Complete Settlement History Settlement Correction ≠ Historical Erasure Settlement
 Reassessment ≠ Settlement Correction Automated Settlement Classification ≠ Authoritative Liability Settlement
 Determination

Cross-Architecture Boundary

LSETM may use governed inputs from adjacent OOF® architectures.

ORA™ may establish actual agreement, payment, performance, termination, or other Operational Reality.

HAGA™ may establish Harm states but does not determine Liability Settlement.

AGA™ may establish authority, delegation, Responsibility, or Accountability structures.

ADIT® may provide Settlement evidence and auditability.

VALIDOS™ may validate Settlement-relevant inputs.

OBIDENTITY® may provide Subject identity, authority, ownership, provenance, Transfer, and succession.

VFM® may govern Settlement-related economic or Value Flow.

AIG® and ASGA™ may provide AI or autonomous-system events relevant to Settlement performance.

These structures may support Settlement governance.

They do not determine the Settlement's Liability effect.

The canonical interoperability principle is:

An external system may establish that an agreement, payment, performance, or other Settlement-relevant event occurred; LSETM governs how that Settlement relates to the Liability structure and what Resolution effect it may legitimately support.

Canonical Boundary

LSETM begins when a Settlement becomes a relevant pathway for resolving, compromising, modifying, satisfying, or preparing for Discharge of an active Liability requirement.

LSETM governs:

Settlement identity, Settlement Objects, participating Subjects, Subject roles, affected Liability Relationships, Settlement Basis, authority, Scope, Boundary, included and excluded Liability, terms, conditions, dependencies, payment requirements, performance requirements, release, waiver, formation, State, effective time, performance, Satisfaction, modification, failure, termination, supersession, primary and secondary Liability effects, Transfer and

Recourse associations, network effects, uncertainty, disputes, conflicts, verification, rationale, provenance, history, and downstream handoff.

LSETM does not independently determine:

original Liability, Fault, Harm, Accountability, complete Satisfaction, Discharge, complete Liability Resolution, or Finality.

LSETM ends when the Settlement is sufficiently represented as a:

Governed Liability Settlement Structure

for continued LRDS governance.

Use Case 1 — Partial Settlement with Remaining Liability

Two Subjects enter a Settlement covering a defined monetary component of an established Liability Relationship.

A separate corrective performance requirement remains outside the Settlement.

LSETM identifies:

the Settlement Object, participating Subjects, Settlement Basis, monetary Scope, payment Terms, effective time, and the corrective requirement excluded from the Settlement.

The monetary component may proceed toward Satisfaction and Discharge without representing the entire Liability Relationship as settled or resolved.

Use Case 2 — Settlement Followed by Recourse

A Liability-bearing Subject enters a Settlement and the agreed payment is performed by an insurer.

The Settlement resolves a defined primary Liability requirement, while the insurer's payment may create a separate Recourse-relevant relationship.

LSETM preserves:

the primary Liability, Settlement identity, Settlement Subjects, Settlement Scope, payment requirement, Performing or Paying Subject, Settlement performance, and the distinction between Settlement effect and any subsequent Recourse.

The insurer's payment does not automatically rewrite the primary Liability or establish Recourse.

Canonical Closing Statement

Settlement creates a governed pathway toward Resolution.

It does not rewrite the Liability that came before it.

It does not automatically determine fault.

It does not automatically constitute admission.

And an agreement that has not been performed is not the same as a completed Resolution.

The Settlement must remain connected to its Object, Subjects, Scope, terms, conditions, performance, and the Liability structure from which it arose.

Settlement ≠ Admission of Liability.

Govern what was agreed, what it covers, and what was actually performed before assigning the Settlement its Liability effect.

Governed Links

Liability Resolution & Discharge Standard (LRDS)

LIGA™ Architecture Map

LDCHM — Liability Discharge Module

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Canonical Source

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